

Standard Operating Procedures

AML/BSA Compliance SOP Pack

MAL MONEY INC. (Trade Name: Mal Money)

BaaS Program Manager - Anti-Money Laundering and Counter-Terrorism Financing

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DOCUMENT CONTROL	
Document Title	Standard Operating Procedures (SOPs)
Entity	MAL MONEY INC. - BaaS Program Manager
Covers	SOP 1: Account Freeze SOP 2: Fraud Alert SOP 3: Dispute Resolution SOP 4: SAR/CTR Escalation and Filing Support SOP 5: Annual KYC Refresh
Version	1.0
Effective Date	March 31, 2026
Cross-Reference	AML/BSA Program v1.0 Governance and Legal Positioning Memorandum KYC/CIP Procedures

Introduction

This document contains five Standard Operating Procedures governing critical compliance operational scenarios for MAL MONEY INC. Each SOP begins with a metadata card identifying the owner, governing document, review frequency, and filing allocation dependency. All procedure steps identify the Responsible Party, Action, and Target Timeline.

Deviations from any SOP require written CO approval and documentation in the relevant case file.

SOP 1 - ACCOUNT FREEZE PROCEDURE

This procedure governs the identification, escalation, and resolution of account freeze and hold actions triggered by OFAC matches, suspicious activity flags, fraud indicators, or regulatory direction. It is designed to ensure that all hold and freeze actions are taken within the Company's confirmed operational authority and, where the Banking Partner controls the relevant account, that escalation occurs immediately and is documented. Timely, consistent execution of this procedure is essential to the Company's OFAC compliance posture and SAR-readiness obligations.

SOP Owner	Governing Document	Review Frequency	Filing Dependency	Purpose / Scope
AML/BSA Compliance Officer	AML/BSA Program s.9-10	Annual + upon material change	OFAC reporting per Regulatory Perimeter Memo and Filing Allocation Matrix	See purpose statement below

Purpose: Establish a consistent, legally defensible procedure for suspending customer account access in response to OFAC matches, suspicious activity escalations, fraud indicators, or regulatory direction. All hold and freeze actions are taken within the Company's confirmed operational authority; where the Banking Partner controls the relevant account, the procedure requires immediate escalation to the Partner.

Step #	Action	Procedure	Responsible	Timeline
1	Trigger Identified	Compliance analyst or system identifies trigger. Document in case management with timestamp and trigger category (OFAC match / suspicious activity / fraud / regulatory direction / other).	Analyst / System	Immediate
2	Transaction Hold	Processing restricted within Company authority. Pending transactions held for CO review. If OFAC match: escalation to Banking Partner initiated simultaneously.	System / Analyst	Within 1 hour
3	CO Notification	CO notified within 1 hour. If OFAC match: immediate notification regardless of time of day.	Analyst	Within 1 hour

4	Case File Assembly	Assemble: KYC documents, transaction history, alert details, prior SAR/investigation records, screening outputs.	Analyst	Within 4 hours
5	CO Review and Decision	CO reviews case file and determines action: (a) maintain hold; (b) lift with full documentation; (c) escalate to full investigation; (d) initiate relationship termination; (e) escalate to law enforcement or OFAC as applicable.	CO	Within 24 hours
6	Customer Communication	If hold is not related to an active SAR investigation or OFAC matter: customer notified of temporary suspension without disclosing SAR-confidential reasons or tipping off the customer.	CO / Ops	Within 24 hours
7	OFAC Blocking / Escalation	If OFAC match confirmed: (a) where within Company authority: restrict processing and initiate hold; (b) where Banking Partner controls: transmit OFAC escalation package immediately. Blocking report filed within 10 business days by the confirmed responsible party.	CO	Within 10 business days
8	Periodic Review	Holds extending beyond 30 days: CO reviews continued necessity and documents ongoing rationale in the case file.	CO	Every 30 days
9	Resolution	Case closed via: (i) hold lifted with full documentation and ongoing enhanced monitoring; (ii) relationship terminated with SAR filing or SAR escalation to the Banking Partner per SOP 4; (iii) matter referred to law enforcement or regulatory authority.	CO	Per investigation timeline

SOP 2 - FRAUD ALERT RESPONSE PROCEDURE

This procedure governs fraud alert intake, prioritization, investigation, and escalation where fraud indicators may also give rise to AML/BSA concerns. It is designed to ensure that fraud response and suspicious activity escalation remain coordinated rather than siloed, and that all fraud-related case handling complies with the Company's no-tipping-off obligations where an active SAR investigation is underway. The Compliance Officer maintains oversight of all cases where fraud and AML/CTF indicators overlap.

SOP Owner	Governing Document	Review Frequency	Filing Dependency	Purpose / Scope
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AML/BSA Compliance Officer	AML/BSA Program s.9; TM Procedures s.4	Annual + upon incident	SAR filing or escalation per SOP 4 and confirmed filing allocation	See purpose statement below
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Purpose: Govern detection, escalation, investigation, and resolution of fraud alerts including ACH recall fraud, identity fraud, account takeover, and card fraud.

Step #	Action	Procedure	Responsible	Timeline
1	Alert Detection	Fraud alert generated by system, ACH return, customer report, or staff identification. Categorized by fraud type and severity.	System / Analyst	Immediate
2	Initial Assessment	Analyst reviews within 2 hours. Gathers account details, transaction records, IP/device data, prior alerts. Assesses if AML/CTF concern also present.	Analyst	Within 2 hours
3	Account Restriction	If active fraud risk: restrict outbound transactions within Company authority pending investigation.	Analyst / CO	Within 2-4 hours
4	Evidence Preservation	Transaction records, IP logs, device fingerprints preserved as evidence. Chain of custody documented.	Analyst	Within 4 hours
5	AML/SAR Assessment	CO reviews whether fraud has AML/TF dimensions warranting SAR/escalation. ACH recall fraud, large outbound transfers, and first-party fraud schemes are common triggers.	CO	Within 24 hours
6	Customer Contact	For suspected account takeover: contact customer through verified out-of-band channel to confirm authorization.	Ops / CO	Within 24 hours
7	SAR Filing or Escalation	If AML/CTF indicators present: SAR filed or escalation package prepared and transmitted to Banking Partner, within 30 days of initial detection per SOP 4 and confirmed filing allocation.	CO	Within 30 days
8	Case Closure	Fraud confirmed: account terminated, SAR filed or escalated, law enforcement referral if warranted. Fraud cleared: restrictions lifted, monitoring elevated for 90 days.	CO	Per investigation timeline

SOP 3 - DISPUTE RESOLUTION PROCEDURE

This procedure governs the intake, investigation, and resolution of customer disputes arising from unauthorized transactions, processing errors, or service failures. It is designed to ensure that dispute handling is completed within applicable timeframes, that customer communications remain compliant with no-tipping-off obligations where SAR-related activity is present, and that any dispute revealing AML/CTF indicators is immediately coordinated with the Compliance Officer and escalated per SOP 4.

SOP Owner	Governing Document	Review Frequency	Filing Dependency	Purpose / Scope
AML/BSA Compliance Officer / Operations Lead	AML/BSA Master Program; applicable product terms	Annual + upon product change	AML concern triggers SOP 4 in parallel	See purpose statement below

Purpose: Govern handling of customer transaction disputes including unauthorized transactions, failed payments, and incorrect charges. Note: This SOP covers AML-integrated dispute handling within the Company's confirmed operational authority. Consumer protection regulatory obligations are governed by product terms, Banking Partner agreement, and applicable law.

Step #	Action	Procedure	Responsible	Timeline
1	Dispute Submission	Customer submits dispute via official channel. Dispute type recorded: unauthorized transaction / failed payment / incorrect charge / other.	Ops	Immediate
2	Initial Triage	Ops reviews dispute type and initial plausibility. Retrieves transaction records. Flags to CO if AML/fraud indicators present.	Ops	Within 4 hours
3	AML Assessment	Where dispute involves unusual transaction pattern, large value, or first-party fraud indicators: CO assessment of AML/TF dimensions before resolution.	CO	Within 24 hours
4	Investigation	Full review of transaction records, customer history, and relevant system data. Fraudulent transaction evidence documented.	Ops / CO	Within 3-5 business days
5	Resolution Decision	Decision: (a) resolve in customer's favor (reversal or credit); (b) dispute invalid; (c) fraud confirmed - refer to SOP 1 and SOP 2; (d) escalate to Banking Partner if beyond Company authority.	CO / Ops	Within 10 business days
6	SAR Referral	If dispute resolution reveals suspicious activity: case referred to CO for SAR/escalation assessment per SOP 4.	CO	Per SOP 4 timeline
7	Customer Notification	Customer notified of resolution decision. Where SAR-related: no disclosure of SAR or investigation.	Ops	Within 5 business days of decision

8	Closure Documentation	Dispute record retained in customer compliance file minimum 5 years.	Ops	Upon closure
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SOP 4 - SAR/CTR ESCALATION AND FILING SUPPORT PROCEDURE

This procedure governs the internal escalation, preparation, and filing support process for Suspicious Activity Reports and Currency Transaction Reports. It is the central coordination mechanism for the Company's BSA reporting obligations and is designed to ensure that all SAR decisions are made by the Compliance Officer, that filing responsibilities are correctly allocated between the Company and its Banking Partner in accordance with the confirmed Regulatory Perimeter Memorandum, and that all deadlines under 31 C.F.R. § 1022.320 and § 1010.311 are met. No SAR may be filed or suppressed without explicit CO sign-off.

SOP Owner	Governing Document	Review Frequency	Filing Dependency	Purpose / Scope
AML/BSA Compliance Officer	AML/BSA Master Program s.9; TM Procedures s.4	Annual + upon regulatory change	SAR filing (direct or Banking Partner escalation) per confirmed filing allocation	See purpose statement below

Purpose: Govern detection, investigation, SAR filing, and Banking Partner escalation for all qualifying suspicious activity, as well as CTR identification and support. The applicable path (direct filing by the Company as confirmed filing institution; escalation package preparation where the Banking Partner is the filer) is confirmed in the Regulatory Perimeter Memorandum and Filing Allocation Matrix.

Step #	Action	Procedure	Responsible	Timeline
1	Detection / Escalation	Suspicious activity identified through TM, customer review, staff observation, or external tip. Case escalated to CO with evidence file.	Analyst / CO	Within 48 hours
2	Investigation	CO conducts in-depth investigation: transactions, customer profile, prior SARs, 314(a) check, external databases.	CO	Within 10-15 days
3	SAR Committee Review	For qualifying cases (high value, PEP, systemic, novel typology): SAR Committee reviews before filing decision.	CO + SAR Committee	Within 20 days
4	Filing Decision	CO makes documented decision: SAR/escalation required or no action (rationale documented). No-action rationale retained 5 years.	CO	Within 25 days

5a	SAR Preparation and Direct Filing (where Company is confirmed filing institution)	SAR narrative prepared per FinCEN quality guidelines. CO QA review before submission. Filed via FinCEN BSA E-Filing. Applies only where Company is the confirmed MSB filing institution.	CO	By Day 30
5b	Escalation Package (Partner is filer)	Complete escalation package transmitted to Banking Partner. Transmission logged with timestamp, acknowledgment, and outcome tracking.	CO	By Day 20
6	Post-Filing Monitoring	Account flagged for enhanced monitoring. Continuing activity review cycle set if applicable (~90 days).	Analyst / CO	Ongoing
7	CTR Identification and Support	CTR obligation applies where Company is the confirmed filing institution for cash transactions exceeding \$10,000. Where Banking Partner is the filing institution: Company identifies CTR triggers and transmits to the Banking Partner within 5 business days.	CO / Analyst	15 calendar days (direct) or 5 business days (escalation)

SOP 5 - ANNUAL KYC REFRESH PROCEDURE

This procedure governs the Company's annual KYC refresh cycle, ensuring that customer due diligence records, risk classifications, and supporting documentation are reviewed, updated, and re-approved on a risk-tiered schedule. The refresh cycle is a core component of the Company's ongoing CDD obligations and is designed to identify any material changes in customer risk profile that would warrant re-tiering, enhanced due diligence, or relationship termination. Refresh outcomes are reported to the Compliance Officer and documented in the customer case management system.

SOP Owner	Governing Document	Review Frequency	Filing Dependency	Purpose / Scope
AML/BSA Compliance Officer / KYC Team	AML/BSA Program s.8; KYC/CIP Procedures	Annual + upon tier change	Non-responsive customers may trigger SOP 4 SAR/escalation assessment	See purpose statement below

Purpose: Govern the systematic periodic review and refresh of customer KYC/CIP information across all tiers.

Refresh Schedule

Tier	Refresh Frequency	Full Re-Verification	Trigger-Based Review
Tier 1 (Standard)	Annual (12 months)	Every 36 months	Change in risk profile; adverse media; OFAC hit
Tier 2 (Elevated)	Semi-annual (6 months)	Every 18 months	Any material change; elevated TM alert
Tier 3 (EDD)	Quarterly (3 months)	Annual	Any adverse event; post-SAR; ownership change

Step #	Action	Procedure	Responsible	Timeline
1	Refresh Schedule Generation	Each quarter: generate list of all customers due for refresh, organized by tier.	Analyst / CO	Start of each quarter
2	Customer Outreach	Customers due for refresh contacted through verified channel. 15-business-day response deadline set.	Ops	Rolling throughout quarter
3	Information Update	Customer provides updated CIP information. Changes recorded and documented.	Analyst	Upon receipt
4	Re-Verification	Where full re-verification applies: identity re-verified through KYC technology or documentary review.	Analyst	Within 5 business days
5	Re-Screening	All customers undergoing refresh re-screened: OFAC, sanctions lists, PEP databases, adverse media. Results documented.	Analyst / System	Upon refresh

6	Risk Re-Assessment	Updated information - risk tier re-evaluated. Tier change documented with rationale. Monitoring configuration updated.	CO	Within 5 business days
7	Non-Responsive Customers	Customers not responding within 15 business days escalated to CO. Repeated non-response results in account restriction and SAR filing consideration.	CO	Day 16 post-outreach
8	Documentation	Completed refresh records archived in customer's permanent compliance file.	Analyst	Upon completion